

CHALLENGE MEMO

Bajaj Finance Limited (NSE: BAJFINANCE)

CM-2026-BAF-001 | 08 July 2026 | CIO Desk – Sovereign Alpha

Sector: NBFC – Consumer Lending | CMP: ₹8,450 | P/BV: 4.6x | ROE (FY25): 17.4% |
Prior Ref: SR-2026-BAJ-002

Three Falsifiable Observations

Observation 1 – Credit Cost Trajectory

Bajaj Finance's credit cost has accelerated from 1.25% (FY23) to 2.05% (FY25) – a 64% increase over two years – while management has guided for normalization at 1.7–1.8% for three consecutive quarters. The gap between guided and actual credit cost has widened every quarter since Q2FY25.

Falsifiable by: Credit cost falling below 1.70% for any two consecutive quarters in FY26.

Observation 2 – Valuation vs. Realized Returns

At the current P/BV of 4.6x, a reverse Gordon Growth Model implies a sustainable ROE of ~78%. The company's actual ROE is 17.4% and declining (peak: 22.5% in FY23). No Indian NBFC has sustained a ROE above 25% at this AUM scale (₹3.5L Cr+). The stock is priced for a level of profitability that has never existed.

Falsifiable by: ROE inflecting above 22% in any quarter of FY26, or P/BV de-rating below 3.5x.

Observation 3 – Funding Cost Outpacing Growth

Interest expense growth (32.3% YoY) has exceeded AUM growth (28.0% YoY) in FY25, creating negative operating leverage on the liability side. NIM has compressed 70 bps in two years (10.8% → 10.1%). If funding costs continue to rise faster than asset yields, each incremental rupee of AUM will be margin-dilutive.

Falsifiable by: NIM expanding above 10.5% in H1FY26 while AUM growth stays above 25%.

Analytical Question

The Core Question for the Investment Committee

If Bajaj Finance's ROE has structurally shifted from 22% to 17% due to competitive NIM compression and credit cost normalization at a higher base, what is the correct steady-state P/BV for a franchise that is growing AUM

at 28% but funding that growth at negative incremental spreads – and at what price does the risk-reward become asymmetric again?

"A one-line disagreement would be more useful to me than any agreement."